

Respond to problems 24 and 25 on the back side of your response sheet.

24) *Note to 2026 Spring students: This Fall 2025 problem was based on a presentation that TA Saachi gave in lecture last semester. I heavily hinted that a question about her presentation would be on the final and gave the students specific practice problems. You did not get Saachi's mini-lecture or the advice to study it, so this problem will be harder for you. That said, it is a good problem that requires you to understand efficiency—which is important for you to understand for our final. So I am leaving it here as a stretch problem. But it is a bit “out of bounds” for our Spring 2026 final exam.*

Consider the story of an incumbent firm and barriers to entry. As always, assume all the individuals are rational and purely self-interested. **Answer only on your response sheet.**

- A professor for a class assigns a Classic Textbook to his 1,000 students.
- The *author* of the Classic Textbook earns \$1 profit per student.
- *Morris* has written a New Textbook which is cheaper and just as good as the Classic Textbook. Morris does not care if anyone uses his textbook (he enjoys no benefits and suffers no costs).
- If the professor assigned the New Textbook, each student would benefit \$2 relative to the situation where the professor assigns the Classic Textbook.
- The professor is very easy to influence (by providing him nice meals and gifts).

- a) What is the efficient outcome? Briefly explain on your response sheet.
- b) Why is it likely the professor will *not* assign the new book? Briefly explain on your response sheet.
- c) Under what conditions would the professor assign the New Textbook? Continue to assume that all individuals are rational and self-interested. Briefly explain on your response sheet. (*Spring 2026 students: this is the part that is a stretch for you.*)

25) Based on the information in the table, answer the following questions. **Answer on the back of your Response Sheet (do not answer on this page).**

$Q = 10 - P$
$MR = 10 - 2Q$
$MC = 6$
$AC = 6 + \frac{2}{Q}$

- a) What is the *efficient* quantity?
- b) What is the profit-maximizing price?
- c) What is the DWL?
- d) What is the profit?

DO NOT TURN OVER UNTIL INSTRUCTED TO.

Write your name and Canvas ID on *both sides* of your response sheet. We will only grade the response sheet.

Good luck!

Figure 1

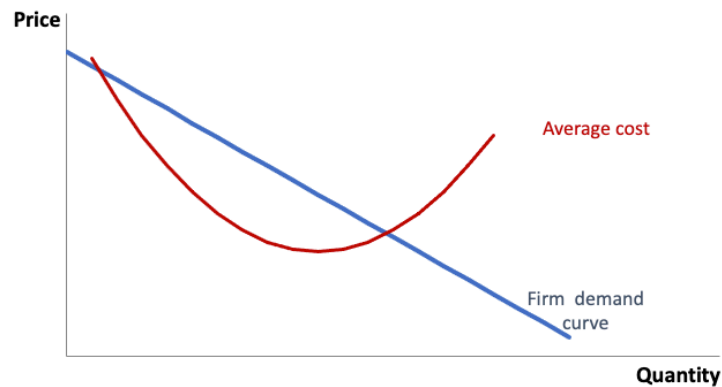


Table 1

	Group A's WTP	Group B's WTP
Big Game	5	4
Big Win	2	3

Table 2

P	Q
7	5
6	6
5	7

Table 3

	B chooses to Honor	B chooses to Break
A chooses to Honor	(6, 6)	(4, 7)
A chooses to Break	(7, 4)	(5, 5)

Note: Payoffs are (A's payoff, B's payoff).